

Industries, companies and products have a certain life cycle where, they are expected to go from one stage to another. This is called competitive life cycle. Lets see how it looks.

New, unique product offerings are developed by new firms or even existing ones. Thus, a new industry begins. This industry then takes time to prove its concept to a small group of customers, before it is adopted by the masses. Over time, new competitors join the industry. Finally, the industry declines with falling profitability. The growth of an industry's sales over time is used to chart its life cycle. Different stages in the industry's life cycle are identified based on the behaviour of the sales.

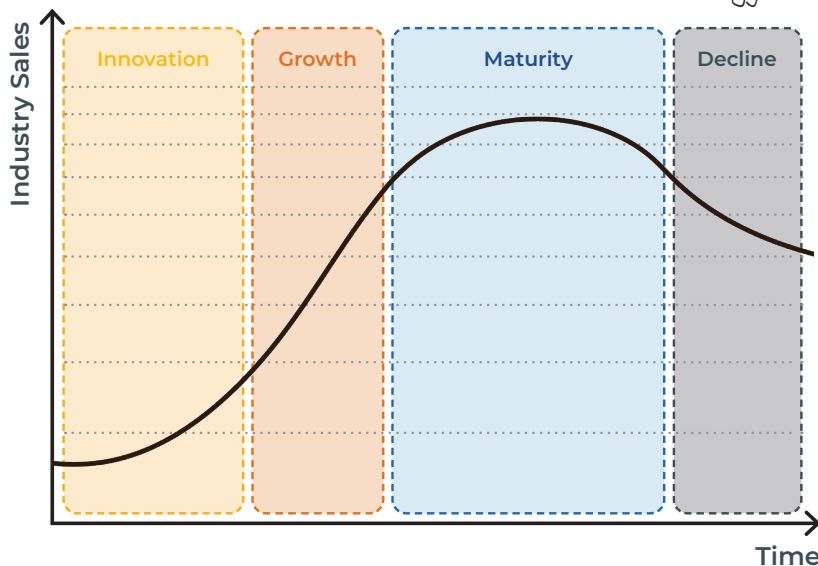


For instance, when tablets were introduced, they were met with a lot of fanfare and they found success. Now the sales of tablets have stabilised.

There is only linear growth and no exponential growth, thus marking a mature stage. Knowing which stage of the life cycle the industry is in is important for both the entrepreneur as well the investor. Each stage has different characteristics in terms of how profits, revenue, and assets behave and the number of competitors in the market.

For investors, the amount of cash required by the business and the returns that they can expect vary significantly.

Based on the stage and its characteristics, the business strategy differs.



Lets look at these phases one by one.